EG US Daily: Washington will keep moving up the escalation ladder on Iran

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Washington will keep moving up the escalation ladder on Iran

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* No easy pathway to reduce new US tariff on Brazil in 2026
* Polling update: Signs of moderate consolidation a boost for Michigan Democrats

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Washington will keep moving up the escalation ladder on Iran. The US appears to be focusing on targets that impair Iran's long-term ability to both project force and maintain economic activity, suggesting a US strategy focused on degrading Iran's strategic position rather than solely forcing re-opening of the Strait of Hormuz. This aligns with Eurasia Group's basecase of continued escalation (55% odds) into mid-August, with the US aiming to force a weakened Iran to take a more conciliatory negotiating position (see Iran, MENA Crisis: Escalation likely as Iran sees path to Hormuz control , 15 July 2026).

* Iran has responded proportionally, attacking a desalination plant in Kuwait and the causeway connecting Bahrain with Saudi Arabia. Neither side has targeted major energy infrastructure so far; such a step would be a significant escalation and lead to retaliation in kind.

* While oil markets are apparently optimistic that this round of conflict will resolve soon, there is a real possibility of escalation this weekend should President Trump wish to put more pressure on Iran. Further strikes targeting transportation infrastructure as well as Iran’s nuclear and missile storage sites are possible, as is escalation in the Red Sea if the Houthis become more involved, with the potential to push oil prices into the $90-110 range.

No easy pathway to reduce new US tariff on Brazil in 2026. Washington has placed a 25% tariff on Brazilian imports under Section 301 trade authority, with broad carve-outs for rare earths, beef, and iron. The new tariffs are set to take effect on July 22, two days before the expiration of the 10% global Section 122 tariff. Adjusted for carve-outs, the new effective tariff rate will fall below IEEPA levels (see chart below).

* Brazil will initiate a trade reciprocity investigation following the US decision to implement a 25% tariff on Brazilian exports, though formal retaliation before its presidential election is unlikely even as bilateral tensions are highly likely to deteriorate further during the campaign.

* If Brazilian President Luiz Inacio Lula da Silva wins reelection later this year, the bilateral relationship will tend to improve, and a window for trade negotiations to lower tariffs may reopen in 2027. But the pathway to a deal to lower tariffs will be difficult given the large list of exemptions granted and unwillingness of the Brazilians to grant major concessions.

* A win by presidential candidate Flavio Bolsonaro would mean broad commercial alignment with Washington and would more easily lead to a deal, including the elimination of Brazil's ethanol tariffs and a critical minerals deal.

* For more, see Brazil: No easy pathway to reduce US tariffs if Lula wins reelection , 16 July 2026.

Polling update: Signs of moderate consolidation a boost for Michigan Democrats. The week's most notable poll was a Detroit News survey of the Michigan Democratic Senate primary, the first major nonpartisan poll since Mallory McMorrow exited the race.

* The poll gives the moderate candidate, Rep. Haley Stevens (D-MI), a seven-point lead over progressive Abdul El-Sayed, who had led in nearly all recent polling of what was at that point a three-candidate race.

* This is Stevens's best poll of the entire campaign, and suggests that she has the wind at her back after McMorrow's dropout and after receiving the endorsement of outgoing Senator Gary Peters (D-MI). Still, the 4 August election is too close to call at this point; El-Sayed's stock in betting markets has fallen from 87% before McMorrow's exit to 67% today, but even that could be over-confident if Stevens's upward trajectory continues.

* There was essentially zero change in Trump's approval rating—which moved from 39.9% last Friday to 39.6% today in the Silver Bulletin tracker—or in the congressional generic ballot, which narrowed very slightly to a six-point Democratic lead. This lack of movement likely reflects an essentially stagnant macroeconomic situation, but there are warning signs on the horizon for Trump and Republicans: Retail gas prices have rapidly spiked to close to the $4/gallon threshold as a result of the recent escalation between the US and Iran, which will likely drag on Trump's approval rating in the coming weeks.

Quote of the Day

"The intelligence community has zero evidence that someone has flipped — that a foreign power flipped — a vote in 2020, 22 or 24." - Conservative commentator John Solomon, who joined the White House staff to lead efforts investigating election security, speaking to reporters after last night's presidential speech on the subject. Undercutting the core of Trump's arguments that foreign interference cost him the 2020 election, Solomon's remarks will be a key focus for Democrats in their response to the speech.

On the Radar

21 July: Senate Appropriations Committee hearing on Pentagon's supplemental request

24 July: Section 122 tariffs expire

27 July: Deadline for Maine Democratic Party to name Senate candidate

4 August: Michigan primary election

10-28 August: Congressional recess

3 November: National midterm elections

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Explanation of Political Trajectories (ie, “Trajectories”)

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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